Uttar Pradesh Tourism: The Push to Build a Hospitality Economy

For decades, Uttar Pradesh had a simple tourism model: millions of pilgrims arrived, visited their destination and often left the same day. While footfall was large, it did not always translate into a strong hospitality economy. Chief Minister Yogi Adityanath's government has sought to change this equation. Rather than focusing only on attracting visitors, the Uttar Pradesh Tourism Policy 2022 created incentives to bring hotels, resorts, heritage properties and other tourism facilities into the state.

Building a Private Investment Story Beyond Pilgrimage

One of the policy's key steps was to give eligible hotels and resorts industry status. This allows them to receive industry-rate treatment for specified taxes and electricity duty. The policy also provides capital investment subsidies ranging from 10% to 25%, depending on the size of the investment, with the highest slab offering up to around ₹40 crore. Eligible tourism units can also receive a 100% exemption on land conversion and development charges, along with stamp duty benefits.

The response has been significant. Uttar Pradesh received investment proposals worth around ₹1 lakh crore in the hospitality sector over two years, against the policy's original target of around ₹20,000 crore. These are proposals, not completed investments, but they indicate the scale of private interest in the sector.

Tourist numbers have risen alongside this investment interest. Uttar Pradesh recorded almost 65 crore tourist visits in 2024, compared with around 48 crore in 2023. In 2025, the figure rose to around 156 crore, with the Maha Kumbh contributing significantly to the increase. In the same year, Uttar Pradesh became India's most-visited state by tourist numbers and also moved up nationally in foreign tourist arrivals.

Taking Tourism Beyond the Big Cities

Ayodhya and Varanasi remain major tourism centres, but the policy also seeks to spread investment to smaller cities, towns and rural destinations. Heritage properties are an important part of this effort. The policy offers a 25% capital subsidy, up to around ₹5 crore, for eligible heritage hotels. Other incentives are also available for heritage properties. The government has also begun using public-private partnerships to bring selected historic properties into tourism development. Properties including Chhatar Manzil, Chunar Fort and Barua Sagar Fort have been identified for such development. These projects are intended to give heritage sites a commercial use while preserving their historic character.

The Larger Economic Shift

The significance of Uttar Pradesh's tourism push goes beyond visitor numbers. Tourism-sector GVA stood at about ₹14,000 crore in 2022-23, with the state targeting ₹70,000 crore by 2028. The state is trying to connect its religious and cultural attractions with the infrastructure needed to accommodate visitors, encourage longer stays and bring more private investment into the sector. For Yogi Adityanath's government, Tourism Policy 2022 provides the framework for this shift. The investment proposals and rising tourist numbers show the opportunity. The next measure will be how many proposed hotels, resorts and heritage projects become operational businesses across the state.



Yogi Adityanath
Chief Minister, Uttar Pradesh



Narendra Modi
Prime Minister of India



POLICY AT A GLANCE

